

Contestant Number: _____

Time: _____

Rank: _____



ADVANCED ACCOUNTING (110) **STATE 2021**

CONCEPT KNOWLEDGE:

Matching (10 @ 2 points each) _____ (20 points)

Multiple Choice (20 @ 2 points each) _____ (40 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (24 points)

Problem 1: Depreciation _____ (19 points)

Problem 2: Inventory Costing Methods _____ (24 points)

Problem 3: Closing Entries _____ (34 points)

Problem 4: Income Statement _____ (31 points)

Problem 5: Ratio Analysis _____ (40 points)

TOTAL POINTS _____ ***(232 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

I. Matching

Match the following balance sheet classifications with the accounts listed below. Some may be used more than once.

- A. Current Assets
- B. Property Plant and Equipment
- C. Intangible Assets
- D. Other Long-Term Assets
- E. Current Liabilities
- F. Long-Term Liabilities
- G. Stockholders' Equity
- H. Does not appear on the Balance Sheet

- _____ 1. Prepaid Insurance
- _____ 2. Accumulated Depreciation on Buildings
- _____ 3. Machine
- _____ 4. Patent
- _____ 5. Microsoft Bonds held as investments
- _____ 6. Notes Payable due in two years
- _____ 7. Dividends Payable
- _____ 8. Gain on Sale of Equipment
- _____ 9. Treasury Stock
- _____ 10. Interest Expense

II. Multiple Choice

1. When a business transaction occurs, the event is first recorded in the _____ and then posted to the _____.
 - A. Journal; Trial Balance
 - B. Ledger; Trial Balance
 - C. Journal; Ledger
 - D. Journal; Cash Receipts Ledger
2. Your company sells its merchandise and ships it using a delivery service. However, on the way to the customer, the delivery truck is involved in an accident and the merchandise is destroyed. Your company is legally responsible for the loss of the merchandise under which of the following?
 - A. FOB Shipping Point
 - B. Sale on Consignment
 - C. FOB Destination
 - D. FOB Shipping Company

3. Which of the following is a contra account?
- A. Premium on Bonds Payable
 - B. Uncollectible Accounts Expense
 - C. Depreciation Expense
 - D. Discount on Bonds Payable
4. Certified Public Accountants (CPAs) are the only accountants who have the legal authority to_____.
- A. Certify that tax returns submitted to the Internal Revenue Service are prepared in accordance with tax law.
 - B. Render an opinion on whether financial statements are presented in accordance with Generally Accepted Accounting Principles.
 - C. Certify that financial statements are free of fraudulent statements.
 - D. Certify the accuracy of financial statements in accordance with Generally Accepted Auditing Standards.
5. Which of the following assets is *not* depreciated?
- A. Buildings
 - B. Equipment
 - C. Land
 - D. Office Furniture
6. In a period of rising prices, which method of inventory costing produces the highest net income?
- A. FIFO
 - B. LIFO
 - C. Weighted Average
 - D. Production Unit Costing
7. Which of the following is *not* a feature of corporations?
- A. Limited Liability
 - B. Shareholders get one vote for each share of stock held.
 - C. Right to dividends when declared by board of directors.
 - D. Right to manage the daily operations of the corporation.
8. Which of the following depreciation methods will have the *smallest* book value at the end of the first year?
- A. Straight Line
 - B. Sum-of-Years-Digits
 - C. Double-declining Balance
 - D. All are the same

9. Which of the entries below records the Bad Debt Expense for the year?
- A. Bad Debt Expense
 Cash
 - B. Bad Debt Expense
 Allowance for Uncollectible Accounts
 - C. Bad Debt Expense
 Accounts Receivable
 - D. Bad Debt Expense
 Accounts Payable
10. What agency enforces the Sarbanes-Oxley Act (SOX)?
- A. Financial Accounting Standards Board
 - B. Internal Revenue Service
 - C. Securities Exchange Commission
 - D. Federal Reserve
11. Which of the following represents the maximum number of shares a corporation can sell?
- A. Treasury Stock
 - B. Authorized Shares
 - C. Issued Shares
 - D. Outstanding Shares
12. If a partnership agreement does *not* specify how income is to be distributed among partners, how are income and losses distributed?
- A. In the ratio of the balances of the partnership accounts
 - B. Based on the number of shares they hold
 - C. Based on the length of time they have been partners
 - D. Equally
13. Which of the following is *not* a feature of preferred stock?
- A. Preferred stockholders receive dividends before common stockholders.
 - B. Dividends are limited to a specified amount.
 - C. Preferred stockholders get to vote before common stockholders.
 - D. If a corporation is liquidated, the preferred stockholders get paid before common stockholders.
14. Which of the following is *not* appropriately classified on a cash flow statement?
- A. Cash received from sale of merchandise - Operating
 - B. Cash paid to pay off notes payable - Financing
 - C. Cash received from sale of equipment – Investing
 - D. Cash paid to buy Treasury Stock - Investing

15. Bixby's Corp buys its own stock from shareholders. The account debited is _____.
A. Cash
B. Capital Stock
C. Paid-in Capital – Capital Stock
D. Treasury Stock
16. Expenses paid for in one fiscal period but *not* reported as an expense until a later fiscal period are known as _____ expenses.
A. prepaid
B. unearned
C. deferred
D. unrecorded
17. Clyde Corp. borrowed \$100,000 using a 3-year note payable with an interest rate of 6 percent on October 2, 2020. If Clyde Corp. has a December 31 fiscal year end, how much interest expense will appear on the Clyde Corp. income statement for 2020?
A. \$18,000
B. \$ 6,000
C. \$ 1,500
D. No interest for 2020 because it won't be paid until October 2, 2021.
18. Freddy Fraud decided to include his house as part of Property Plant and Equipment on his company's balance sheet even though no business activity was conducted in the house. This is a violation of which of the following accounting principles?
A. Historic Cost
B. Consistency
C. Business Entity
D. Matching Principle
19. Which of the following financial statements does *not* reflect events of the company over a span of time?
A. Income Statement
B. Balance Sheet
C. Statement of Cash Flows
D. All summarize events over a span of time.
20. The ratio that shows the relationship of quick assets to current liabilities is _____.
A. current ratio
B. working capital ratio
C. return on sales
D. acid test ratio

Short Answer – 24 points

1. Bob's Detailing signed a 2-year note to borrow \$10,000 cash on September 1, 2020, with a 7 percent interest rate that is due in two years. Bob has a December 31 fiscal year end. **(16 points total)**

A. Make the entry needed to record the issuance of the note on September 1, 2020. **(4 points)**

DR _____ \$ _____
CR _____ \$ _____

B. Make the adjusting entry for the accrued interest on December 31, 2020. **(4 points)**

DR _____ \$ _____
CR _____ \$ _____

C. Show what liabilities would be on the Balance Sheet for December 31, 2020, from this note, along with the balances. Categorize the liabilities appropriately. **(6 points)**

D. What is the amount of interest expense reported on Bob's Income Statement in 2021? **(2 points)** _____

2. In 2020, Chen and Smith formed a partnership, C&S Enterprises, by investing \$20,000 and \$80,000 respectively. They agreed to divide profits and losses on a 4 to 2 ratio (Chen 4 and Smith 2). In their first year (2020) the company made \$180,000 and Chen withdrew \$50,000 and Smith withdrew \$70,000. **(8 points total)**

A. What were Chen's and Smith's share of the profit? **(2 points each)**

Chen _____ Smith _____

B. What were the ending balances in Chen's and Partnership accounts? **(2 points each)**

Chen _____ Smith _____

Problem 1: Depreciation – 19 Total Points

Hope Inc. purchased a machine on July 3, 2020, for \$250,000 that has a 5-year life with a \$90,000 salvage value. The machine is expected to produce 320,000 units during its 5-year life. Calculate the depreciation for the machine using the methods specified below. Assume that during 2020 the machine produced 27,000 units, and during 2021 it produced 61,000 units. Record the amount of depreciation expense for 2020 and 2021 for all methods. **(2 points each)**

	<u>2020</u>	<u>2021</u>
Straight-Line	_____	_____
Double-Declining Balance	_____	_____
Units of Production	_____	_____

- A. What is the machine's book value on December 31, 2020, using the straight-line method? (2 points)
- _____
- B. Show how the machine would appear on the Balance Sheet on December 31, 2021, using the Units of Production method. (5 points)

Problem 2: Inventory Costing Methods – 24 Total Points

Acme Corporation uses the periodic inventory system during 2020. The beginning inventory and purchases during the year are described below, and Acme sells each unit for \$63. Acme had 300 units in stock at the end of 2020. Calculate the cost of the 300 units in ending inventory using LIFO and FIFO method. Once you have determined the ending inventory, calculate the cost of goods sold and the gross profit for each method.

Beginning Merchandise Inventory	150 Units @ \$23.00
Purchased on February 15	180 Units @ \$23.50
Purchased on June 12	240 Units @ \$24.00
Purchased on August 30	170 Units @ \$24.20
Purchased on November 30	190 Units @ \$25.00

	<u>LIFO</u>	<u>FIFO</u>
Total Revenue	_____	_____
Cost of Ending Inventory	_____	_____
Cost of Goods Sold	_____	_____
Gross Profit (Margin)	_____	_____

Problem 3: Closing Entries and Impact on Account Balances – 34 Total Points

The following account balances were taken from Facemask Inc.'s adjusted Trial Balance on December 31, 2020.

Facemask Inc.	
Depreciation Expense	\$110,000
Dividends	93,000
Cash	25,000
Building	649,000
Accumulated Depreciation	300,000
Common Stock	240,000
Cost of Goods Sold	255,000
Interest Expense	3,000
Inventory	109,000
Retained Earnings (Beginning Balance)	102,000
Sales	797,000
Selling Expense	62,000
Wages Expense	218,000
Unearned Rent Revenue	25,000
Sales Returns and Allowances	60,000

Continued on next page

A. Using the information above, prepare the closing entries for Facemask Inc. **(26 points)**

Account Title	Debit	Credit

B. What are the balances in the following accounts after the closing entries are made and posted to the ledger? **(8 points)**

Retained Earnings _____
Interest Expense _____
Cash _____
Common Stock _____

Problem 4: Income Statement - 31 Total Points

The following accounts are from the McNew Corporation as of December 31, 2020. Using the appropriate accounts below, prepare an Income Statement for McNew Corp., assuming its fiscal year ends on December 31, 2020. Include a proper heading.

Cash.....	\$300,000	Sales.....	\$6,300,000
Administrative Expenses	950,000	Accounts Payable.....	1,000,000
Accumulated Depreciation.....	5,000,000	Cost of Goods Sold.....	1,500,000
Retained Earnings	15,000,000	Dividends	100,000
Loss on sale of equipment.....	100,000	Income Tax Expense.....	618,000
Investment in Apple Stock.....	56,000	Selling Expenses.....	600,000
Land	900,000	Accounts Payable.....	150,000
Sales Returns and Allowances ...	100,000		

PREPARE INCOME STATEMENT BELOW:

Problem 5: Horizontal and Ratio Analysis (40 points)

The comparative Balance Sheets for the Collyer Corporation are listed below. Use this information to solve the required problems on the following page.

**Collyer Corporation
Comparative Balance Sheets
On December 31, 2020 and 2019**

<u>Assets</u>	<u>Dec 31, 2020</u>	<u>Dec 31, 2019</u>
Cash	\$50,900	\$30,200
Accounts Receivable	35,600	40,000
Merchandise Inventory	120,000	92,000
Supplies	3,000	5,000
Building	500,000	550,000
Equipment	<u>180,000</u>	<u>155,500</u>
<u>Total Assets</u>	\$889,500	\$872,700
<u>Liabilities</u>		
Accounts Payable	\$30,300	\$35,700
Salaries Payable	10,600	15,100
Note Payable (due within 180 days)	67,000	72,000
Bonds Payable	<u>200,000</u>	<u>200,000</u>
<u>Total Liabilities</u>	\$307,900	\$322,800
<u>Stockholders' Equity</u>		
Common Stock	\$100,000	\$100,000
Retained Earnings	<u>481,600</u>	<u>449,900</u>
<u>Total Stockholders' Equity</u>	\$581,600	\$549,900

Collyer Corporation generated \$60,000 of net income in 2020.

Perform a horizontal analysis for the accounts listed below. Round percentages to one decimal.

	<u>Dollar Amount and Direction of Change</u>	<u>Percent of Change</u>
Cash	_____	_____
Account Receivable	_____	_____
Notes Payable	_____	_____
Retained Earnings	_____	_____

Answer the following questions.

- A. Given the \$60,000 of net income generated by Collyer in 2020, how much in dividends did Collyer pay in 2020? _____
- B. What percent of total assets were property plant and equipment on December 31, 2020?

Using information from the balance sheet above, calculate the following for each year specified.

	<u>2020</u>	<u>2019</u>
Working Capital	_____	_____
Current Ratio	_____	_____
Quick Ratio	_____	_____
Debt to Equity Ratio	_____	_____
Return on Assets (2020 only)	_____	
Return on Equity (2020 only)	_____	